



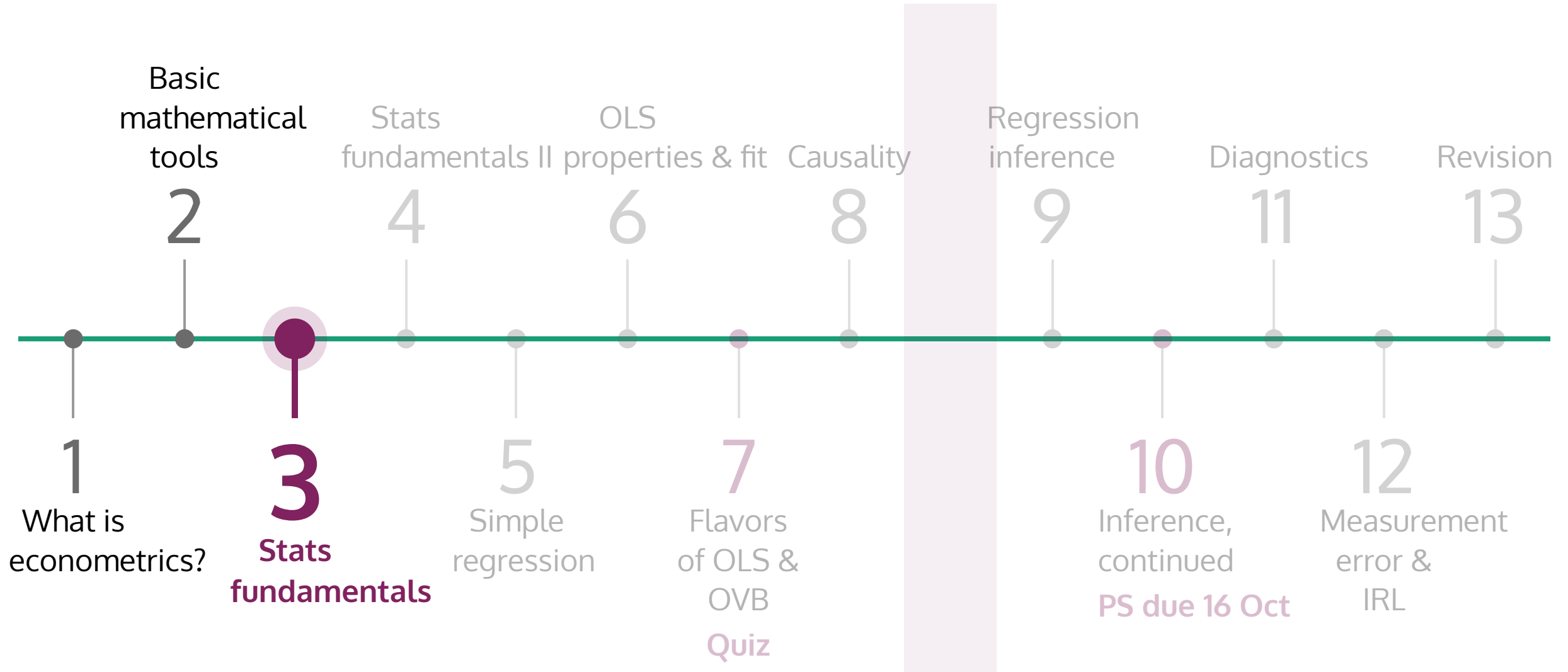
ECON 2041

Introductory Econometrics

Income & happiness



# Plan for the semester



# Happiness

# Happiness

Cantril Ladder score

Source: [Gallup World Poll](#)

*Please imagine a ladder, with steps numbered from 0 at the bottom to 10 at the top. The top of the ladder represents the best possible life for you, and the bottom of the ladder represents the worst possible life for you. On which step of the ladder would you say you personally feel you stand at this time?*

# GDP per capita

GDP per person, adjusted for inflation and purchasing power

- Total value added from the production of G&S in country
- Divided by population
- PPP-adjusted
- In "international dollars"
- Source: World Bank

# Cross-sectional data

- 144 countries in 2024
- GDP per capita ( $X$ ) & happiness ( $Y$ ) are both continuous RVs
- Why? They're draws from a larger conceptual population

## Experiment

- draw a set of respondents from each country
- calculate their average life satisfaction

## Sample space

- set of all possible tuples of country averages you could get
- $X$  maps each outcome of that process to a number

# Now let's open the data!

Open this week's lecture notebook and follow along:

<https://emiliatjernstrom.com/econ2041/lectures/w03>

It will open directly in Colab

Click **Copy to Drive** first, so your edits save

# Some take-aways

- We can tell stories with data
- Visualization is powerful
- Always explore first



# Before you go: forecast your semester

One more portal round, open now

1. Open your portal link

<https://emiliatjernstrom.com/econ2041/portal.html>

OR scan the QR code, then enter your code

2. Forecast your own final mark, then judge three hypothetical students



Portal answers are anonymous & ungraded

Results revealed in week 4

# The SES survey

Shapes Macquarie's teaching, support, and services

- Results affect university rankings, which in turn affects how employers view us... and you!
- You can win \$1,000!
- Open until 30 August
- Link in your student email  
(from [ses@srcentre.com.au](mailto:ses@srcentre.com.au)), or scan the code

